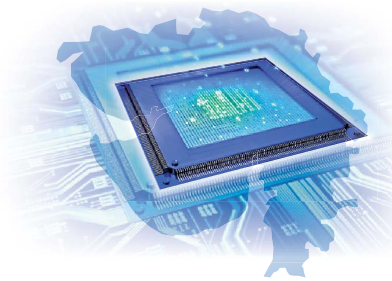
Gujarat Welcomes a New Semiconductor Unit

The Union Cabinet, chaired by Hon'ble Prime Minister Shri Narendra Modi, has approved the establishment of the Keynes Semicon Plant in Sanand, Gujarat. The Keynes Semicon Plant, to be set up at a cost of ₹3,300 crore in Sanand, Gujarat, will produce 60 lakh semiconductor chips per day.

Gujarat's Semiconductor Policy



Committed to realizing the Hon'ble Prime Minister's vision of Viksit Bharat@2047, the Government of Gujarat, led by Hon'ble Chief Minister Shri Bhupendra Patel, pioneered the launch of the Gujarat Semiconductor Policy (2022-27). With a focused mission to implement this policy effectively, Gujarat has established the 'Gujarat State Electronics Mission' to advance towards self-sufficiency (Atmanirbharta) in the semiconductor sector.

Recognizing the capital-intensive nature of the semiconductor industry and the critical need for a domestic manufacturing base, the Gujarat Government will provide an additional financial support of approximately 40% of the capital expenditure assistance provided by the Government of India, for the semiconductor and display fab units. Further incentives include a one time 100% reimbursement of stemp duty & registration fees, high-quality power supply at globally competitive rates with a ₹2 per unit Subsidy, quality water supply at ₹12 per cubic meter, and an exemption from electricity duty. Additionally, a 50% capital subsidy is offered for building a desalination plant.

Committed to transforming Dholera into Semicon City, the Government offers attractive incentives for establishing semiconductor units in Dholera, including up to a 75% subsidy on land parcel procurement for fab projects.

Broad view on Semiconductor units in Gujarat

The construction of the Micron Semiconductor ATMP (Assembly, Testing, Marking, Packaging) Unit is already underway in Sanand. The Central Government, Under Prime Minister Shri Narendra Modi's guidance, has also approved two additional semiconductor manufacturing facilities in Gujarat. Tata Electronics Private Limited (TEPL) will establish a semiconductor fab unit in Dholera SIR, while CG Power & Industrial Solutions, part of the renowned conglomerate Murugappa Group, is setting up a Semiconductor OSAT plant in Sanand GIDC. Thus, three companies are establishing semiconductor plants in Gujarat.

The Big Picture

Cumulatively, Gujarat's Four semiconductor units have witnessed an investment of approximately ₹1.24 lakh crore and will create a whopping 53,000 highly skilled jobs.

Significantly, the units will help India reduce its dependence on imports and propel job creation in allied downstream industries such as Auto, Electronics, Medical Equipment and Telecom.

Semiconductor Policy has positioned Gujarat as a trailblazer in nurturing the Indian ESDM ecosystem. Having taken the lead by facilitating as many as three semiconductor units in such a short span, Gujarat will continue to attract more investments from the a broad spectrum of the semiconductor supply-chain ecosystem players from India and across the world.



Growth and Potential

GUJARAT'S SEMICONDUCTOR INDUSTRY



01 Foundation stone laid for Micron Company's Semiconductor ATMP Plant, valued at over ₹22,500 crore, by Hon'ble Chief Minister of Gujarat,Shri Bhupendra bhai Patel.

02 India's first commercial Artificial Intelligence-enabled semiconductor fab, valued at over ₹91,000 crore, will be developed by Tata Electronics Private Limited (TEPL) and Taiwan-based Company PSMC at Dholera Semicon City.

03 A semiconductor OSAT facility is being established by CG Power and Renesas Company, with a total project investment exceeding ₹7,500 crore.

Fiscal Incentives Provided Under the Semiconductor Policy in Gujarat

One time 100% reimbursement of Stamp Duty & Registration Fees

Good quality potable water at **₹12/cubic meter**

Power tariff subsidy of **₹2 per unit**

Electricity Duty Exemption